

SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite 8% Route 9%	We use 8% for onsite systems because growth combines installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. We use 9% for route processors because density, cross-sell and treatment throughput offer modestly more upside.	MEDIUM
EBITDA margin	Onsite 21% Route 28%	The 21% onsite estimate reflects sticky service and recovered-oil value offset by fresh-oil, installation, depot and field costs. The 28% route estimate is set below LES's 30%-plus result to allow for mixed services and third-party disposal.	MEDIUM
Maintenance capex / revenue	Onsite 3.5% Route 5.0%	We use 3.5% for onsite systems to sustain tanks, pumps, filtration, monitoring and service vehicles, and 5% for route processors because they also maintain vacuum fleets and treatment plants. Clean maintenance-capex splits are unavailable.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Onsite 4 / 9 yrs Route 2 / 7 yrs	Onsite systems receive longer initial and effective tenure because embedded equipment and workflow integration make switching disruptive. Route agreements are easier to rebid, but recurring compliance needs, route reliability and bundled services extend relationships beyond the formal term.	MEDIUM-LOW
Utilization exposure	Onsite Moderate Route Moderate-High	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution.	MEDIUM
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market.	MEDIUM-LOW
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center.	HIGH

BUSINESS UNIVERSE

All four businesses solve recurring oil or wastewater needs, but the bottleneck differs: installed customer-site systems versus dense routes and permitted treatment capacity. That distinction drives the estimates.

Restaurant Technologies

Evidence. 45,000-plus kitchens, 41 depots, 1,200-plus employees; about 60% of 2022 revenue was QSR-related. Margin, capex, terms, and payback are derived; S&P reported 2024 cash deficits despite durable revenue.

Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems.

Economics. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots.

Liquid Environmental Solutions

Evidence. 1,020 employees, 670 vehicles, 95 facility/partner sites, 129,500 locations; earlier 24 plants and 300-plus vacuum trucks. S&P supports margins above 30%.

Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance.

Economics. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk.

Waste Resources Management

Evidence. 10,000-plus clients, four states, 300-plus employees; a 2026 deal adds 13 metros. Mixed McDonald Farms services reduce purity.

Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites.

Economics. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.

Wind River Environmental

Evidence. 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions, 16 plants processing 200 million-plus gallons. Only clearly mixed B2B-B2C company.

Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks.

Economics. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure.

KEY DILIGENCE QUESTIONS

1 Obtain standalone revenue, EBITDA and organic growth for all four private businesses.

2 Confirm contract forms, renewal mechanics and customer churn by service line.

3 Build maintenance capex by onsite systems, vehicles, treatment plants and safety assets.